

Iraq After ISIS

Oil Revenues, PMF Militias, and the Fragile State Reconstruction

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Executive Summary

Iraq is a state defined by the gap between its resource endowment and its institutional capacity — a nation whose subsoil contains the world's fifth-largest proved oil reserves yet whose citizens endure 12 to 18 hours of daily electricity load shedding, whose government has lost billions of dollars to institutionalized corruption, and whose security architecture is partially controlled by militias that answer to a foreign government. With a population of approximately 42 million as of 2023 and a nominal GDP of \$268 billion, Iraq produces approximately 4.5 million barrels of oil per day, making it the second-largest producer within OPEC.

The 2003 US invasion, the subsequent dismantling of Baathist state institutions, and the sectarian power-sharing arrangements that emerged from the ruins of Saddam Hussein's republic created the structural conditions for ISIS's emergence, for Iran's institutionalized dominance over Iraqi security policy, and for the permanent governance crisis that has characterized the state ever since. The Islamic State's declaration of a caliphate in Mosul in June 2014 and its territorial defeat — formally completed at Baghuz Fawqani in March 2019 — bookend a period of catastrophic violence that reshaped the physical landscape of northern and western Iraq and left an insurgency that continues to operate in reduced but persistent form. Prime Minister Mohammed Shia' al-Sudani, who took office in October 2022, governs an Iraq where the Popular Mobilization Forces (PMF), the Iran-aligned militia umbrella that nominally operates under state authority, represent a parallel security structure with its own command, financing, and foreign policy relationships.

Part I — Post-2003 State Architecture: The Institutional Void

The US-led invasion of Iraq commenced on March 20, 2003, prosecuted by a coalition of approximately 150,000 American troops alongside British, Australian, and other allied forces. The formal justification — the possession of weapons of mass destruction by Saddam Hussein's government — was subsequently revealed to rest on intelligence assessments that were fundamentally flawed, a conclusion confirmed by the Iraq Survey Group's 2004 Duelfer Report. Saddam Hussein was captured by US forces in December 2003 at a farmhouse near Tikrit and was subsequently tried by an Iraqi Special Tribunal and executed on December 30, 2006.

The Coalition Provisional Authority's de-Baathification decrees — Order 1 (De-Baathification of Iraqi Society) and Order 2 (Dissolution of Entities, which abolished the Iraqi Army) — are widely assessed by scholars of the conflict as the single most consequential policy errors of the occupation period. Order 2 instantaneously created approximately 400,000 unemployed men who possessed military training, weapons familiarity, and, in many cases, grievances against the Shia-dominated government that would replace Baathist rule. This population became the primary human resource pool from which Al-Qaeda in Iraq — and eventually ISIS — recruited.

The 2005 constitution established a parliamentary system organized around the principle of muhasasa — the sectarian and ethnic power-sharing formula that allocates the prime ministership to the Shia majority, the presidency of the republic to Kurdish parties, and the speakership of the Council of Representatives to Sunni Arab parties . This arrangement has produced a permanent logic of ethnic and sectarian calculation in which national interest is systematically subordinated to communal positioning, and in which government formation processes routinely require months of negotiation because every cabinet portfolio is understood as a communal resource extraction opportunity.

The 2006–2008 sectarian civil war, which peaked in 2006–2007, saw Baghdad neighborhoods cleansed along sectarian lines, with Al-Qaeda in Iraq targeting Shia civilian populations through spectacular bombings — most notably the February 2006 Samarra mosque attack — while Shia militias including the Mahdi Army conducted extrajudicial killings of Sunnis at rates that produced more than 100 deaths per day in Baghdad at the conflict's peak . The US military surge announced by President George W. Bush in January 2007 — adding approximately 30,000 additional troops under General David Petraeus's counterinsurgency framework — in combination with the Sunni Awakening movement (Sahwa) and the Mahdi Army ceasefire reduced violence substantially by 2008 . US forces formally withdrew from Iraq in December 2011 under the terms of the Status of Forces Agreement negotiated by the Bush administration in 2008 .

Part II — ISIS Rise and Fall: The Caliphate and Its Destruction

The Islamic State in Iraq and the Levant (ISIL, also known as ISIS and Daesh) emerged from the organizational remnant of Al-Qaeda in Iraq, which had been severely degraded by the US surge and Sunni Awakening but not destroyed. Under the leadership of Abu Bakr al-Baghdadi, who had spent time in US detention at Camp Bucca, the organization rebuilt its infrastructure in Iraqi prisons and among the Sunni tribal networks that felt marginalized by the Shia-dominated government of Prime Minister Nouri al-Maliki .

The fall of Mosul on June 10, 2014, stands as the most stunning military collapse in the contemporary Middle East. A city of approximately 650,000 residents fell in three days to an attacking force estimated at fewer than 2,000 ISIS fighters . Iraq's Second Division — a US-trained force of 30,000 troops — abandoned its equipment and uniforms and fled. The episode revealed the depth of institutional rot in the Iraqi Security Forces: units that existed primarily as salary-collection mechanisms for "ghost soldiers" (non-existent personnel whose salaries were pocketed by officers) and whose officer corps had been selected for political loyalty rather than military competence .

The August 2014 Sinjar massacre — in which ISIS targeted the Yazidi religious minority in the Sinjar district of Nineveh province — resulted in the killing of approximately 5,000 Yazidi men and boys and the enslavement of more than 7,000 Yazidi women and girls . The UN formally designated the attack as genocide . The sexual enslavement and sale of Yazidi women was documented in detail by ISIS itself through its publication Dabiq and through subsequent survivor testimony compiled by human rights investigators .

At its territorial peak in mid-2014, the caliphate controlled approximately 100,000 square kilometers across Iraq and Syria, governing an estimated 8 million people . Revenue sources included oil production from captured fields estimated at approximately \$2 million per day . The military campaign to destroy the caliphate extended over more than four years, involving the Mosul battle from October 2016 to July 2017 — a nine-month urban engagement that military analysts describe as one of the most intense urban battles since Stalingrad, resulting in approximately 9,000 civilian deaths and the near-total destruction of Mosul's Old City . Raqqa, the caliphate's Syrian capital, fell to the US-backed Syrian Democratic Forces in October 2017 . The final territorial fragment at Baghuz Fawqani fell in March 2019 .

Al-Baghdadi himself was killed on October 26, 2019, in a US Special Operations Forces raid on a compound in Barisha village in Idlib province, Syria . ISIS's territorial defeat did not end its insurgency: the organization reverted to guerrilla tactics in rural areas of Iraq's Diyala, Kirkuk, and Salah ad-Din provinces, conducting hit-and-run attacks and targeted killings of security force members that continued through 2025 .

Part III — Iran's Iraq: The PMF as State-Within-a-State

The Popular Mobilization Forces represent the most consequential institutional legacy of the ISIS crisis — a collection of approximately 67 armed factions, nominally subordinate to the Iraqi Prime Minister as commander-in-chief, that in practice operate as an Iranian-aligned parallel security structure with its own political wing, economic enterprises, and strategic relationships with Tehran . General Qasem Soleimani, commander of Iran's Islamic Revolutionary Guard Corps Quds Force until his death in January 2020, is credited with building the PMF's organizational architecture by drawing on his experience constructing Lebanon's Hezbollah as an Iranian instrument — replicating that model in Iraq's more permissive post-2003 environment .

The PMF's principal constituent factions — Kata'ib Hezbollah, Asaib Ahl al-Haq, the Badr Organization, and Harakat Hezbollah al-Nujaba — maintain command relationships with Tehran that bypass the Iraqi government, receive weapons and training from the IRGC, and in some cases deploy fighters to Syria in support of the Assad government's military operations . The PMF was formally incorporated into Iraq's security forces architecture through a 2016 law passed by the Council of Representatives, entitling it to state funding — a budget allocation estimated at approximately \$2.4 billion annually as of 2022 .

The killing of General Soleimani — alongside Abu Mahdi al-Muhandis, the PMF's deputy commander and the most powerful figure within the Iraq-based militia network — in a US drone strike at Baghdad International Airport on January 3, 2020, constituted the most direct kinetic confrontation between the United States and Iran since the 1980s . The Iraqi Council of Representatives voted on January 5, 2020, to pass a non-binding resolution calling for the expulsion of US troops from Iraqi territory , a vote that reflected both genuine political anger and the political arithmetic of Shia bloc dominance in the parliament. US forces did not withdraw.

The proxy confrontation between US forces and Iran-aligned PMF factions intensified in the wake of October 7, 2023. US military facilities in Iraq and Syria were attacked more than 150 times by Iran-aligned groups between October 2023 and early 2024 . The attack on Tower 22 — a US logistics support base in Jordan near the Syrian border — on January 28, 2024, killed three US soldiers and wounded more than 40 . US retaliatory strikes in February 2024 targeted PMF-affiliated sites in Iraq and Syria , striking a delicate balance between demonstrating deterrence and avoiding the escalation that a direct strike inside Iran would have triggered.

Part IV — Oil Wealth and Dysfunction: Revenue Without Development

Iraq's oil revenues in 2022 reached approximately \$115 billion — the highest annual figure in the country's history — driven by elevated global oil prices following Russia's invasion of Ukraine . The previous year's oil revenues of \$94 billion had already set a record at the time . Iraq's federal budget for 2023 was set at approximately \$153 billion, of which approximately 93 percent was projected from oil revenues — a degree of hydrocarbon dependency that makes every aspect of Iraqi governance subject to the volatility of global crude oil markets.

The Kurdistan Regional Government's oil export dispute with Baghdad escalated in March 2023 when an International Chamber of Commerce arbitration ruling found that Turkey had violated the Iraq-Turkey

pipeline agreement by facilitating KRG oil exports without Baghdad's authorization, imposing a penalty of approximately \$1.5 billion on Turkey . The ruling effectively halted KRG oil exports via the Ceyhan pipeline, depriving the Kurdistan region of approximately \$400-600 million per month in revenue and creating a fiscal crisis for the KRG that remained unresolved through extended negotiations with Baghdad .

Despite revenues of this magnitude, Iraq's electricity infrastructure remains in chronic crisis. Iraqi citizens endure 12 to 18 hours of load shedding daily in summer months . The systemic failure reflects decades of underinvestment, the destruction of infrastructure during multiple conflicts, dependence on Iranian gas imports for power generation, and corruption that has diverted infrastructure funds into private accounts. Iraq's Transparency International Corruption Perception Index ranking of 157 out of 180 countries in 2023 places it among the most corrupt states in the world.

The "theft of the century" scandal — the discovery in 2022 that approximately \$2.5 billion in tax revenues owed to the Iraqi state had been siphoned through fraudulent tax refund claims to companies connected to political networks — provided a specific, documented example of the systemic corruption that consumes Iraqi state resources . The 15-month government formation deadlock following the October 2021 elections — which ended only with al-Sudani's appointment in October 2022 — demonstrated that Iraq's political system treats power as a resource extraction opportunity rather than a governing responsibility, with coalition formation negotiations functioning as negotiations over which faction controls which ministry's contracting budget .

Part V — Kurdistan and the Future: Autonomy, Independence, and Permanent Dispute

The Kurdistan Region of Iraq, governed from Erbil by the Kurdistan Regional Government, represents the most successful political and economic unit to emerge from post-2003 Iraq — and the most persistent source of constitutional tension with the federal government in Baghdad. The KRG is governed by Prime Minister Masrour Barzani and President Nechirvan Barzani, with real authority divided between the two principal Kurdish parties: the Kurdistan Democratic Party (KDP), led by the Barzani family, and the Patriotic Union of Kurdistan (PUK), historically based in Sulaymaniyah and with stronger ties to Tehran .

The Peshmerga — the KRG's armed forces — number approximately 100,000 active fighters, constituting one of the most combat-experienced military forces in the region following the ISIS campaigns . The KRG has maintained a US security partnership encompassing counterterrorism cooperation, training, and intelligence sharing since 2003, with US Special Operations Forces maintaining a sustained presence in the Kurdistan Region .

The October 2017 independence referendum — in which 93 percent of voters in the Kurdistan Region supported independence — triggered an immediate and decisive response from Baghdad. Iraqi federal forces, backed by Iran-aligned PMF factions, seized Kirkuk — the contested, oil-rich city and province that Kurdish forces had taken control of during the ISIS campaign — within days of the referendum result . The episode demonstrated that while the international community offered no support for Kurdish independence and that Iran and Turkey actively coordinated to prevent it, the Kurdistan Region's security ultimately depends on the sufficiently benign disposition of its powerful neighbors — a dependency that the referendum's organizers appeared to have miscalculated.

The PKK presence in the Qandil mountain ranges of northern Iraqi Kurdistan creates a recurring source of tension between Turkey, Iraq, and the KRG. Turkey conducts regular air and special operations strikes against PKK positions in Iraqi territory — operations that Baghdad nominally protests but for which the Iraqi government's acquiescence in practice reflects its limited capacity to contest and its recognition that Turkey's operations are directed against a designated terrorist organization .

The Yazidi community of Sinjar, decimated by the 2014 genocide, faces reconstruction challenges compounded by competing governance claims — between the KRG, the Iraqi federal government, and various armed factions including the PKK-affiliated Sinjar Resistance Units (YBS) — that have impeded the large-scale return of Yazidi internally displaced persons despite formal agreements signed in 2020 between Baghdad and Erbil . Of the estimated 360,000 Yazidis displaced in 2014, the majority remained displaced as of the early 2020s , reflecting the degree to which competing political interests have prioritized control over reconstruction.

Conclusion

Iraq illustrates the paradox of rentier state failure at maximum intensity: a country whose oil wealth is sufficient, in principle, to fund both a modern state apparatus and generous citizen welfare, yet whose political economy systematically diverts those revenues into factional networks, foreign-aligned militias, and private accounts. The post-2003 institutional settlement — muhasasa sectarianism, de-Baathification, the PMF's legitimization — created incentive structures that reward communal extraction over national governance, and that have proven remarkably resistant to the reformist pressures generated by popular protest movements (most notably the October 2019 Tishreen uprising), international condemnation of corruption, and the object lesson of ISIS's exploitation of Sunni marginalization.

Iran's dominant influence — exercised through the PMF, through political parties with organic IRGC ties, and through Iraq's energy dependency on Iranian gas imports — constitutes the most consequential geopolitical fact about post-2003 Iraq: the United States invested approximately \$2 trillion and nearly 4,500 military deaths in a project whose principal strategic beneficiary was Iran . The fractured sectarian and ethnic architecture, the oil wealth that enables dysfunction rather than compelling reform, and the permanent tension between the Baghdad center and the Kurdish periphery make Iraq's crisis state condition a structural feature rather than a transitional phase — the permanent equilibrium of a country whose institutional foundations were destroyed and never credibly rebuilt.

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